भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

RBI/DOR/2025-26/226

DOR.RET.REC.145/12-01-001/2025-26 November 28, 2025

Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) Directions, 2025 (Updated as on January 22, 2026)

Table of Contents

Chapter I - Preliminary 2
Chapter II - Cash Reserve Ratio (CRR) 9
Chapter III - Statutory Liquidity Ratio (SLR) 13
Chapter IV - Procedure for computation of SLR 17
Chapter V - Reporting 18
Chapter VI - Penalties 22
Chapter VII- Repeal And Other Provisions 23
Annex I 25
Annex II 34

In exercise of the powers conferred by Section 35A of the Banking Regulation Act, 1949 and pursuant to Section 42 of the Reserve Bank of India Act, 1934 and Sections 18 and 24 of Banking Regulation Act, 1949, as amended from time to time, and all other provisions / laws enabling the Reserve Bank of India (hereinafter referred as the 'RBI' or 'Reserve Bank') in this regard, the RBI being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Directions hereinafter specified.

Chapter I - Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) Directions, 2025.

2. These Directions shall come into force with immediate effect.

B. Applicability

3. These Directions shall be applicable to Local Area Banks (hereinafter collectively referred to as 'banks' or 'LABs' and individually as a 'LAB' or 'bank').

4. The maintenance of Cash Reserve Ratio (CRR) shall be reported to the RBI under the statutory return **Form A**.

5. The maintenance of Statutory Liquidity Ratio (SLR) shall be reported to the RBI under the statutory return **Form VIII**.

C. Definitions

6. In these Directions, unless the context otherwise requires, the terms herein shall bear the meaning assigned to them below:

(1) 'Aggregate Deposits' shall mean aggregation of demand and time deposits.

(2) 'Apportionment of Saving Bank Account into demand liability and time liability': a bank shall undertake the apportionment of Saving Bank Account into demand liability and time liability as per the following procedure:

(i) A bank is required to calculate the proportion of its savings bank deposits as at the close of business on March 31 and September 30, into demand and time liabilities in terms of Regulation 7 of The Reserve Bank of India Scheduled Banks' Regulations, 1951.

(ii) The average of the minimum balances maintained (in each account) in each of the months during the half year period shall be treated by the bank as the amount representing the "time liability" portion of the savings bank deposits. When such an amount is deducted from the average of the actual balances maintained during the half year period, the difference would represent the "demand liability" portion.

(iii) The proportions of demand and time liabilities so obtained for each half year shall be applied for arriving at demand and time liabilities components of savings bank deposits for all reporting fortnights during the next half year.

(3) 'Approved Securities/SLR securities': Following securities shall be considered as approved securities (approved securities are commonly known as SLR securities):

(i) Dated securities of the Government of India issued from time to time under the market borrowing programme and the Market Stabilization Scheme;

(ii) Treasury Bills of the Government of India;

(iii) [1]State Development Loans (SDLs) of the State Governments issued from time to time under the market borrowing programme.

(iv) Any other instrument as may be notified by the Reserve Bank of India (as and when prescribed).

Explanation:

(a) For Form A Return and its Annex, a bank should report the total investment in approved securities as per its investment book i.e. including encumbered securities.

(b) For SLR purpose, only unencumbered portion of investment in approved securities would qualify as specified SLR assets. The following SLR securities, however, shall not be considered as encumbered securities for SLR purpose and hence they will also qualify as specified SLR asset:

(i) Securities lodged with another institution for an advance or any other credit arrangement to the extent to which such securities have not been drawn against or availed of;

(ii) Securities offered as collateral to the Reserve Bank for availing liquidity assistance from Marginal Standing Facility (MSF) up to the permissible percentage of the total Net Demand and Time Liabilities (NDTL) in India, carved out of the required SLR portfolio of the bank concerned; and

[1] State Development Loans are now known as State Government Securities

(iii) Securities acquired by banks under RBI-LAF and market repo transactions.

(4) 'Assets with Banking System' shall:

(i) include balances with banks in current account, balances with banks and notified financial institutions in other accounts, funds made available to banking system by way of loans or deposits repayable at call or short notice of a fortnight or less and loans other than money at call and short notice made available to the banking system.

(ii) any other amounts due from the banking system which cannot be classified under any of the above items are also to be taken as assets with the banking system.

(5) 'Average daily balance' means average of the balances held at the close of business on each day of a fortnight.

(6) 'Bank credit in India' shall mean all outstanding loans and advances including advances for which provisions have been made and / or refinance has been received {but excludes rediscounted bills without recourse and advances written off at Head Office level (i.e. technical write off)}.

(7) 'Banking System' or 'Bank/s' wherever it appears in the prescribed Form A Return shall mean the banks and any other financial institutions referred to in sub-clause (i) to (vi) of the Explanation below Section 42(1)(d) of the Reserve Bank of India Act, 1934.

(8) 'Cash' to be maintained by a LAB shall include,

(i) cash in hand,

(ii) the net balance in current accounts with scheduled commercial banks in India.

(iii) the deposit required under sub-section (2) of Section 11 of the Banking Regulation Act, 1949 to be made with the Reserve Bank by a banking company incorporated outside India;

(iv) any balance maintained by a scheduled bank with the Reserve Bank in excess of the balance required to be maintained by it under Section 42 of the Reserve Bank of India Act,1934 (2 of 1934);

(v) any balances held by a bank with the RBI under the Standing Deposit Facility (SDF).

(9) 'Cash in India / Cash in hand' shall consist of total amount of rupee notes and coins held by bank branches / ATMs / Cash deposit machines maintained by banks in India, including transit cash on the bank's books as also cash with Business Correspondents (BCs), but shall exclude cash, where physical possession is with outsourced vendors / BCs, which is not replenished in the bank's ATM and / or is not reflected on the bank's books.

(10) 'Corresponding new bank' shall mean a corresponding new bank constituted under Section 3 of the Banking Companies (Acquisition and Transfer of Undertakings) Act,1970 (5 of 1970); or under Section 3 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980 (40 of 1980).

(11) 'Deemed Cash' shall be cash held in India for the purpose of SLR maintenance and shall consist of the following:

(i) Cash in hand as defined in paragraph 6(9) of these Directions.

(ii) The deposit required under sub-section (2) of Section 11 of the Banking Regulation Act, 1949 and kept with the Reserve Bank by a banking company incorporated outside India.

(iii) Any balance maintained by a scheduled bank with the Reserve Bank in excess of the balance required to be maintained by it under Section 42 of the Reserve Bank of India Act, 1934 (2 of 1934);

(iv) Net balance in current accounts with other SCBs in India.

(v) any balances held by a bank with the RBI under the Standing Deposit Facility (SDF).

(12) 'Demand Deposit' shall mean a deposit received by the bank which is withdrawable on demand and shall include current deposits, demand portion of savings deposits, credit balances in overdrafts, cash credit accounts, deposits payable at call, overdue deposits, cash certificates, etc.

(13) 'Demand Liabilities' shall mean liabilities of a bank which are payable on demand and shall include the following:

(i) current deposits,

(ii) demand liabilities portion of savings bank deposits,

(iii) margins held against letters of credit / guarantees,

(iv) balances in overdue fixed deposits, cash certificates and cumulative / recurring

deposits,

(v) outstanding Telegraphic Transfers (TTs), Mail Transfers (MTs), Demand Drafts (DDs),

(vi) unclaimed deposits,

(vii) credit balances in the Cash Credit account,

(viii) deposits held as security for advances which are payable on demand.

***Explanation*:** Money at Call and Short Notice from outside the banking system shall be shown against liability to others.

(14) [2]'Fortnight' means the period from the first day to the fifteenth day of each calendar month or sixteenth day to the last day of each calendar month, both days inclusive.

(15) 'Investment in India' shall consist of investment in approved government securities and other approved securities (as explained below). These shall include both encumbered and unencumbered securities as per the bank's investment book. (Except securities acquired by banks under RBI-LAF and market repo).

(16) 'Investment in India in other Government Securities' shall mean Investment in Government securities which are not approved securities (such as SDLs issued as UDAY bonds).

(17) 'Liquidity Adjustment Facility (LAF)' shall mean fixed and variable rate Repo operations (for injection of liquidity) and reverse repo operations (for absorption of liquidity) conducted by the Reserve Bank of India from time to time.

(18) 'Local Area Bank' shall mean a banking company licensed as such under Section 22 of the Banking Regulation Act, 1949 (10 of 1949).

(19) 'Marginal standing facility' shall mean the facility under which the eligible banks can avail liquidity support from the Reserve Bank against excess SLR holdings. Additionally, they can also avail overnight liquidity by dipping into their stipulated SLR, up to a certain percent of their respective NDTL outstanding at the last day of the second preceding fortnight. The rate of interest under MSF will be above the LAF repo rate, as decided by the RBI from time to time.

---

[2] *Amended with effect from December 15, 2025 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) (Amendment) Directions, 2025 dated December 11, 2025.*

(20) ‘Market borrowing programme’ shall mean the domestic rupee loans raised by the Government of India and the State Governments from the public and managed by the Reserve Bank through issue of marketable securities, governed by the provisions of the Government Securities Act, 2006, Public Debt Act, 1944 and the Regulations framed under those Acts, through an auction or any other method, as specified in the notification issued in this regard.

(21) ‘Net balance in current accounts’ shall have the same meaning assigned in explanation (c) to Section 18 of the Banking Regulation Act, 1949.

(22) ‘Other Approved Securities’ shall mean Government Securities, other than the securities mentioned in paragraph 6(3) above, subject to the condition that they are notified as approved securities.

(23) ‘Other Demand and Time Liabilities (ODTL)’ shall include the following:

(i) Interest accrued on deposits, bills payable, unpaid dividends, suspense account balances representing amounts due to other banks or public, net credit balances in branch adjustment account, and any amounts due to the banking system which are not in the nature of deposits or borrowing.

(ii) The balance outstanding in the blocked account pertaining to segregated outstanding credit entries for more than five years in inter-branch adjustment account, the margin money on bills purchased / discounted and gold borrowed by banks from abroad. The conversion rate of gold into rupees is to be done by crossing the London AM fixing for Gold/USD rate with the rupee-dollar reference rate announced by Financial Benchmarks India Private Limited (FBIL).

(iii) Borrowings through instruments qualifying for Upper Tier 2 and Tier 2 capital.

***Explanation*:**

(a) Such liabilities may arise due to items like collection of bills on behalf of other banks, interest due to other banks and so on. If a bank cannot segregate the liabilities to the banking system from the total of ODTL, the entire ODTL may be shown against item II(c) 'Other Demand and Time Liabilities' of the Return in Form 'A'.

(b) Cash collaterals received under collateralised derivative transactions should be included in the bank’s NDTL for the purpose of reserve requirements as these are in the nature of ‘outside liabilities’. Interest accrued on deposits

should be calculated on each reporting fortnight (as per the interest calculation methods applicable to various types of accounts) so that the bank's liability in this regard is fairly reflected in the total NDTL of the same fortnightly return.

(24) 'Scheduled Bank' means a bank included in the Second Schedule to the Reserve Bank of India Act, 1934.

(25) 'State Co-operative Bank' shall mean the Principal Co-operative Society in a State, the primary object of which is the financing of other Co-operative Societies in the State:

Provided that in addition to such Principal Society in a State, or where there is no such Principal Society in a State, the State Government may declare any one or more Co-operative Societies carrying on business in that State to be also or to be a State Co-operative Bank or State Co-operative Banks within the meaning of this definition;

(26) 'Time Deposits' shall mean deposits other than demand deposits.

(27) 'Time Liabilities' of a bank shall include those liabilities which are payable otherwise than on demand and shall include the following:

(i) fixed deposits,
(ii) cash certificates,
(iii) cumulative and recurring deposits,
(iv) time liabilities portion of savings bank deposits,
(v) staff security deposits,
(vi) margin held against letters of credit, if not payable on demand,
(vii) deposits held as securities for advances which are not payable on demand,
(viii) gold deposits.

(28) All other expressions unless defined herein shall have the same meaning as have been assigned to them under the Banking Regulation Act or the Reserve Bank of India Act, or any statutory modification or re-enactment thereto or as used in commercial parlance, as the case may be.

Chapter II - Cash Reserve Ratio (CRR)

A. Cash Reserve Ratio (CRR)

7. Every LAB shall maintain in India by way of cash reserve, a sum equivalent to such percent of the total of its NDTL in India, in such manner and for such dates, as the Reserve Bank in terms of Section 42(1) of the RBI Act, 1934 and Section 18(1) of BR Act, 1949, may specify, by notification in the Official Gazette, from time to time having regard to the needs of securing the monetary stability in the country.

B. Maintenance of CRR

8. Every LAB shall maintain in India by way of cash reserve with itself or by way of balance in a current account with the Reserve Bank, or by way of net balance in current accounts or in one or more of the aforesaid ways, the amount of which shall not be less than 3.75 per cent, 3.5 per cent, 3.25 per cent and 3.0 per cent of its NDTL, as on the last day of the second preceding fortnight, effective from the reporting fortnight beginning September 6, October 4, November 1 and November 29, 2025, respectively.

C. Computation of Net Demand and Time Liabilities (NDTL)

9. NDTL of a bank includes (a) liabilities towards the banking system net of assets with the banking system as defined in Section 18 of the Banking Regulation Act, 1949 for non-scheduled banks (b) liabilities towards others in the form of demand and time deposits or borrowings or other miscellaneous items of liabilities.

10. For the purpose of these Directions, the Reserve Bank may specify from time to time with reference to any transaction or class of transactions that such transaction or transactions shall be regarded as liability in India of a bank.

11. If any question arises as to whether any transaction or transactions shall be regarded, for the purpose of these Directions, as liability in India of a bank, the bank shall approach the RBI. The decision of the Reserve Bank thereon shall be final.

12. Loans / borrowings from abroad by banks in India shall be reckoned as 'liabilities to others' and shall be subject to reserve requirements. On the other hand, lending to banks abroad will not be considered as assets with the banking system and hence will not be allowed to be netted out from inter-bank liabilities.

13. Upper Tier II instruments raised and maintained in India / abroad shall be reckoned as liability for the computation of NDTL for the purpose of reserve requirements.

14. The balance amount in respect of the drafts issued by the accepting bank on its correspondent bank under the Remittance Facilities Scheme and remaining unpaid shall be reckoned as 'Liability to others in India' for the computation of NDTL. The amount received by correspondent banks shall be reckoned as 'Liability to the Banking System' and this liability may be netted off by the correspondent banks against the inter-bank assets.

15. Sums placed by banks for issuing drafts / interest / dividend warrants shall be treated as 'Assets with banking system' and banks shall have the option to net them off from their inter-bank liabilities.

D. Liabilities not to be included for NDTL computation.

16. The liabilities mentioned below shall not form part of liabilities of a bank for the purpose of CRR and SLR:

(1) Paid up capital, reserves, borrowings through instruments qualifying for Tier 1 and additional Tier 1 capital; any credit balance in the Profit & Loss Account of the bank, amount of any loan / refinance taken from RBI, Exim Bank, NHB, NABARD, SIDBI, NaBFID and [3]other development financial institutions as defined in section 2 (cccii) of RBI Act, 1934.

Provided that the funds collected by various branches of the bank or other banks for the issue and held pending finalisation of allotment of the additional Tier 1 preference shares shall have to be taken into account for the purpose of calculation of reserve requirements.

(2) Net income tax provision,

(3) Amount received from Deposit Insurance and Credit Guarantee Corporation (DICGC) towards claims and held by the bank pending adjustments thereof,

(4) Amount received from Export Credit Guarantee Corporation (ECGC) by invoking the guarantee,

(5) Amount received from an insurance company on ad-hoc settlement of claims

[3] *Amended with effect from January 22, 2026 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) Amendment Directions, 2026 dated January 22, 2026.*

pending judgment of the Court,

(6) Amount received from the Court Receiver,

(7) The liabilities arising on account of utilisation of limits under Bankers' Acceptance Facility (BAF),

(8) Subsidy released by NABARD under Investment Subsidy Scheme for Construction / Renovation / Expansion of Rural Godowns,

(9) Subsidy released by Central / State Government which is kept in zero percent fixed deposit receipt (FDR) account, if the terms / conditions prescribed in this regard by the Government and the accounting / operating treatment given to zero per cent FDR account are same as that of zero per cent Subsidy Reserve Fund account,

(10) Net unrealised gain / loss arising from derivatives transaction under trading portfolio,

(11) Income flows received in advance such as annual fees and other charges which are not refundable,

(12) Bill rediscounted by a bank with eligible financial institutions as approved by the RBI, and

(13) Amount received by the eligible banks from National Credit Guarantee Trustee Company Limited (NCGTC) by invoking the guarantee towards claims and pending adjustments thereof.

E. CRR Computation

17. In order to improve cash management by banks, as a measure of simplification, a lag of one fortnight is allowed to banks to maintain CRR based on the NDTL of the last day of the second preceding fortnight.

18. Reserve Bank of India does not pay any interest on the CRR balances maintained with RBI by LABs.

F. Loans out of FCNR (B) Deposits and Inter-Bank Foreign Currency (IBFC) Deposits

19. Loans out of Foreign Currency Non–Resident Accounts (Banks), (FCNR [B] Deposits Scheme) and Inter-Bank Foreign Currency (IBFC) deposits shall be included as part of bank credit for the purpose of these Directions. Banks shall use the

conversion rate announced by Financial Benchmarks India Private Limited (FBIL) for the purpose of converting foreign assets / liabilities for reporting in the statutory returns mentioned at paragraphs 4 and 5 of these directions. For conversion of assets / liabilities in other currencies, banks may use New York Closing Rate pertaining to the day end of the reporting day for converting such currencies into USD and then use the reference rate of FBIL for USD/ INR for the same day for conversion into INR.

Chapter III - Statutory Liquidity Ratio (SLR)

A. Statutory Liquidity Ratio (SLR)

20. Every bank, in addition to the cash reserves which it is required to maintain under these Directions, shall maintain in India, assets, the value of which shall not be less than such percentage not exceeding 40 percent of the total of its demand and time liabilities in India as on the last day of the second preceding fortnight as the Reserve Bank may, by notification in the Official Gazette, specify from time to time and such assets shall be maintained in such form and such manner, as may be specified in such notification.

B. SLR - Eligible Assets

21. Every LAB shall maintain in India assets (hereinafter referred to as 'SLR assets') the value of which shall not, at the close of business on any day, be less than 18 per cent of its total net demand and time liabilities in India as on the last day of the second preceding fortnight in accordance with the method of valuation specified by RBI from time to time.

C. Marginal Standing Facility (MSF)

22. Banks permitted by Reserve Bank shall have the option to participate in the Marginal Standing Facility (MSF) Scheme introduced by the Reserve Bank. The features of the scheme are:

(1) The eligible banks shall have the option to borrow up to two percent of their respective NDTL outstanding at the end of the second preceding fortnight.

(2) The eligible entities shall also continue to access overnight funds under this facility against their excess SLR holdings.

(3) In the event of a bank's SLR holding falling below the statutory requirement up to two percent of its NDTL, the bank shall not have the obligation to seek a specific waiver for default in SLR compliance arising out of use of this facility in terms of notification issued under sub section (2A) of Section 24 of the Banking Regulation Act, 1949.

D. SLR Assets

23. SLR assets shall be maintained by LABs as under:

(1) Cash, or;

(2) Gold, as defined in Section 5(g) of the Banking Regulation Act, 1949 (10 of 1949), valued at a price not exceeding the current market price, or;

(3) Unencumbered investment in any of the following instruments [hereinafter referred to as Statutory Liquidity Ratio securities ("SLR securities")], namely:-

(i) Dated securities of the Government of India issued from time to time under the Market Borrowing Programme and the Market Stabilization Scheme; or

(ii) Treasury Bills of the Government of India; or

(iii) State Government Securities of the respective State Governments issued from time to time under the market borrowing programme; or

(iv) Any other instrument as may be notified by the Reserve Bank of India (as and when prescribed).

(4) the deposit and unencumbered approved securities required, under sub-section (2) of Section 11 of the Banking Regulation Act, 1949(10 of 1949), to be made with the Reserve Bank by a banking company incorporated outside India;

Provided that the instruments referred to in items (3)(i) to (3)(iii) mentioned above, that have been acquired from Reserve Bank of India under reverse repo, shall be considered as eligible assets for SLR maintenance.

Provided further that the following SLR-securities shall not be treated as encumbered for the purpose of maintenance of SLR assets, namely:

(i) securities lodged with another institution for an advance or any other credit arrangement to the extent to which such securities have not been drawn against or availed of;

(ii) securities offered as collateral to the Reserve Bank for availing liquidity assistance under Marginal Standing Facility (MSF) up to the permissible percentage of the total NDTL in India, carved out of the required SLR portfolio of the bank concerned;

(iii) Securities acquired by banks under RBI-LAF and market repo transactions.

(5) Explanation - For the purpose of these Directions,

(i) Securities lodged in the Gilt Account of the bank maintained with Clearing Corporation of India Ltd. (CCIL) under Constituent Subsidiary General Ledger account (CSGL) facilities remaining unencumbered at the end of any day can be reckoned for SLR purposes by the bank concerned.

(ii) Funds borrowed under repo including tri-party repo in government securities shall be exempted from CRR / SLR computation and the security acquired under repo shall be eligible for SLR provided the security is primarily eligible for SLR as per the provisions of the Act under which it is required to be maintained.

(iii) Borrowings by a bank through repo in corporate bonds and debentures shall be reckoned as liabilities for Cash Reserve Ratio / Statutory Liquidity Ratio requirement and, to the extent these liabilities are to the banking system, they shall be netted as per Section 42 (1) (d) of the RBI Act, 1934.

(iv) All banks shall maintain investments in Government Securities only in Subsidiary General Ledger (SGL) Accounts with Reserve Bank or in CSGL Accounts of scheduled commercial banks, Primary Dealers (PDs), State Co-operative Banks, and Stock Holding Corporation of India Ltd. (SHCIL) or in the dematerialised accounts with depositories such as National Securities Depositories Ltd (NSDL), Central Depository Services Ltd. (CDSL), and National Securities Clearing Corporation Ltd. (NSCCL).

(v) [4]Banks shall report the SDF balances held by banks with RBI in Form VIII, as it is an eligible asset for SLR maintenance. The balances held by banks with RBI under the SDF shall not be eligible for Cash Reserve Ratio (CRR) maintenance. Further, banks are not required to report SDF balances held by them with RBI, in Form A return.

(6) Note:

(i) With a view to disseminating information on the SLR status of a Government security, it has been decided that:

(a) the SLR status of securities issued by the Government of India and the State Governments will be indicated in the Press Release issued by the Reserve Bank of India at the time of issuance of the securities; and,

(b) an updated and current list of the SLR securities will be posted on the

[4] *Amended with effect from January 22, 2026 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) Amendment Directions, 2026 dated January 22, 2026.*

Reserve Bank's website (www.rbi.org.in) under the link "Database on Indian Economy" under the head 'Statistics'.

(ii) The cash management bill shall be treated as Government of India Treasury Bill and thus be reckoned as SLR security.

Chapter IV - Procedure for computation of SLR

A. Computation of NDTL for SLR

24. The procedure for computation of NDTL for SLR shall be as below:

(1) Total NDTL for the purpose of SLR under Section 24 (2A) of Banking Regulation Act, 1949, shall be computed on the similar procedure as followed for CRR.

(2) The liabilities mentioned under paragraph 16 of these Directions shall not form part of liabilities for the purpose of SLR also.

(3) The banks are required to include inter-bank term deposits / term borrowing liabilities of all maturities in 'Liabilities to the Banking System'.

(4) Banks shall include their inter-bank assets of term deposits and term lending of all maturities in 'Assets with the Banking System' for computation of NDTL for SLR purpose.

B. Classification and Valuation of SLR eligible securities

25. Classification and valuation of approved securities shall be in accordance with the extant instructions in Reserve Bank of India (Local Area Banks – Classification, Valuation and Operation of Investment Portfolio) Directions, 2025, as applicable.

Chapter V - Reporting

A. Fortnightly CRR Return in Form A

26. Under Section 42(2) of the RBI Act, 1934, every LAB shall submit to Reserve Bank a Return in Form 'A' (**Annex I**), at the close of business on [5] last day of each fortnight within five days after the date of the relevant fortnight to which it relates.

27. Where such last day of each fortnight is a public holiday under the Negotiable Instruments Act, 1881, for one or more offices of the bank, the Return shall give at the close of business of the preceding working day's figure in respect of such office or offices, but shall nevertheless be deemed to relate to last day of such fortnight.

28. The Return in Form 'A', shall be submitted to Reserve Bank along with:

(1) the Memorandum to the Return in Form 'A' giving details of paid-up capital, reserves, time deposits comprising short-term (of contractual maturity of one year or less) and long-term (of contractual maturity of more than one year), certificates of deposits, NDTL, total CRR requirement, etc.,

(2) Annex A to the Return in Form 'A' showing all foreign currency liabilities and assets, and

(3) Annex B to return in Form 'A' giving details about investment in approved securities, investment in unapproved securities, memo items such as subscription to shares / debentures / bonds in primary market and subscriptions through private placement.

29. The LAB should adhere to the following practice for presentation of Reverse Repo transactions in the Form 'A' return:

(1) Reverse Repo transactions with the banks should be reported as under:

(i) For original tenors up to and inclusive of 14 days

(a) Item III(b) of Form A (i.e., Money at call and short notice); and

(b) Memo item 2.1 of Annex A to Form A (i.e., under Inter Bank Assets)

(ii) For original tenors more than 14 days

(a) Item III(c) of Form A (i.e., Advances to banks); and

[5] *Amended with effect from December 15, 2025 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) (Amendment) Directions, 2025 dated December 11, 2025.*

(b) Memo item 2.1 and 2.2 of Annex A to Form A (i.e., under Inter Bank Assets)

(2) The Reverse Repo transactions of a bank with non-banks (other institutions) should be reported as under:

(i) For original tenors up to and inclusive of 14 days - Not required to be reported in Form A.

(ii) For original tenors more than 14 days - Item VI(a) of Form A [i.e. Loans, cash credits and overdrafts under Bank Credit in India (excluding inter-bank advances)].

30. [6][Deleted].

31. Whenever there are wide variations between the sources and uses of funds as being reported in the fortnightly Return and the variations exceed 20 percent, the banks concerned should give reasons therefor in the Return.

32. In terms of Regulation 5(i) (c) of the Scheduled Banks Regulations,1951, the banks are required to furnish a list of the names, the officials designations and specimen signatures of the officers of the banks who are authorised to sign on behalf of the banks, Returns prescribed under Section 42(2) of the RBI Act, 1934, and Section 18 and 24 of the Banking Regulation Act, 1949. The bank has to submit to Reserve Bank fresh set of signatures whenever there is change in the incumbency.

33. [7]Under the new reporting structure, as amended vide Banking Laws (Amendment) Act 2025, there shall be no Provisional or Final or Special Form A return. The banks are required to submit single Form A return. The new versions of Form A and Form VIII returns are available on the Centralised Information Management System (CIMS) portal with new return codes. The banks are required to submit fortnightly Form A return from December 15, 2025 and monthly Form VIII return from December 2025 on the CIMS portal. Form A and Form VIII are not to be submitted in hard copy / paper returns by LABs. The banks have to submit these returns in electronic form on CIMS portal using digital signatures of two authorised officials. While submitting these returns, banks have to ensure that the same is

---

[6] *Deleted with effect from December 15, 2025 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) (Amendment) Directions, 2025 dated December 11, 2025*

[7] *Substituted with effect from December 15, 2025 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) (Amendment) Directions, 2025 dated December 11, 2025*

compliant with the prevalent IT laws of the country.

33 A. [8]The maintenance of CRR and SLR during the fortnight December 16-31, 2025 and the first fortnight of January 2026 (i.e., January 1-15, 2026) is to be done by the banks, based on the Net Demand and Time Liabilities (NDTL) as on November 28, 2025 and December 15, 2025, respectively. From the subsequent fortnights starting from January 16, 2026, the maintenance shall be done, as presently applicable, i.e., based on the NDTL as on the last day of the second preceding fortnight.

33 B. [9]During the transition period of three days i.e., December 13-15, 2025, the maintenance of CRR and SLR is to be done by the banks, based on the Net Demand and Time Liabilities (NDTL) as on November 28, 2025. Further, the banks shall maintain minimum CRR of not less than hundred per cent of the required CRR during the transition period. The banks shall also submit Form A return for December 12, 2025, as per earlier reporting structure. Further, the banks are advised to submit Form VIII return of December 2025 on CIMS portal, both with old and new return codes.

B. Return in Form VIII (SLR)

34. Every LAB shall submit to the Reserve Bank before 20th day of every month, a Return in Form VIII (**Annex II**) showing the amount of SLR held on last day of each fortnightduring the immediate preceding month with particulars of their DTL in India held on such day or if any such day is a public holiday under the Negotiable Instruments Act, 1881, at the close of business on the preceding working day.

35. Every bank shall also submit a statement as **Annex** to Form VIII Return giving daily position of (a) assets held for the purpose of compliance with SLR, (b) excess cash balances maintained by them with RBI in the prescribed format, and (c) mode of valuation of securities.

36. The Statutory Auditors shall verify and certify that all items of outside liabilities, as per the bank's books had been duly compiled by the bank and correctly reflected under

[8] *Inserted with effect from December 15, 2025 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) (Amendment) Directions, 2025 dated December 11, 2025*

[9] *Inserted with effect from December 12, 2025 vide Reserve Bank of India (Local Area Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) (Amendment) Directions, 2025 dated December 11, 2025*

NDTL in the fortnightly / monthly statutory returns submitted to Reserve Bank for the financial year.

Chapter VI - Penalties

A. Penalties for default in CRR Maintenance

37. Every bank is liable to pay to the Reserve Bank, penal interest, if the daily balance of cash reserve (CRR) held by the bank during any fortnight is below the minimum prescribed by or under these Directions. The LABs shall be liable to pay to the Reserve Bank, penal interest as envisaged in sub-section (1A) Section 18 of B.R. Act, 1949, if the daily balance of CRR maintained by the banks fall below the prescribed minimum CRR.

38. Banks are required to furnish the particulars such as date, amount, percentage, reason for default in maintenance of requisite CRR and also action taken to avoid recurrence of such default.

39. Failure to submit the Return/late submission of the Return shall attract the provisions of Section 42(4) of RBI Act, 1934 and banks are liable for imposition of penalties as indicated therein.

B. Penalties for default in SLR Maintenance

40. On the failure of the bank to maintain as on any day, the amount of SLR required to be maintained by a bank, the bank shall be liable to pay to the Reserve Bank in respect of that default, the penal interest as envisaged under Section 24 of the BR Act, 1949.

41. Failure to submit the prescribed return in time will attract the provisions of Section 46(4) of the Act ibid.

42. Where it is observed that banks are persistently defaulting despite instructions and repeated advice, the Reserve Bank in addition to levy of penalty on such defaulting banks, may be constrained to consider cancelling the licence in case of licensed banks. The banks should, therefore, in their own interest ensure maintenance of statutory liquidity ratio at prescribed rates and be very prompt in submission of required Return to Regional Office concerned of Reserve Bank.

Disclaimer: It is hereby advised that mere inclusion of any item in the above Master Direction should not be construed as a permission to undertake all such activities by a banking entity.

Chapter VII- Repeal And Other Provisions

A. Repeal and saving

43. With the issue of these Directions, the existing Directions, instructions, and guidelines relating to Cash Reserve Ratio and Statutory Liquidity Ratio) as applicable to Local Area Banks stand repealed, as communicated vide circular DOR.RRC.REC.302/33-01-010/2025-26 dated November 28, 2025. The Directions, instructions and guidelines repealed prior to the issuance of these Directions shall continue to remain repealed.

44. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines shall continue to be governed by the provisions thereof. All approvals or acknowledgments granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these directions, instructions, or guidelines shall not in any way prejudicially affect:

(i) any right, obligation or liability acquired, accrued, or incurred thereunder;

(ii) any, penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder;

(iii) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture or punishment may be imposed as if those directions, instructions, or guidelines had not been repealed.

B. Application of other laws not barred

45. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations, or directions, for the time being in force

C. Interpretations

46. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the RBI may, if it considers necessary, issue necessary clarifications in

respect of any matter covered herein and the interpretation of any provision of these Directions given by the RBI shall be final and binding.

(Manoranjan Padhy)
Chief General Manager

Annex I

FORM A

(To be submitted by a LAB)

Statement of position at the close of business on last day of the fortnight[1]-------
(Rupees rounded off to the nearest thousand)

Name of the Bank:

I. Liabilities to the Banking System in India[2]

a) Demand and time deposits from Banks

b) Borrowings from Banks

c) Other Demand and Time Liabilities[3]

Total of I

II. Liabilities to Others in India

a) Aggregate Deposits (Other than from Banks)

(i) Demand

(ii) Time

b) Borrowings[4]

c) Other demand and time liabilities

Total of II

Total of I + II

III. Assets with the Banking System in India

a) Balances with Banks

(i) In current account

(ii) In other accounts

b) Money at call and short notice

c) Advances to banks i.e., dues from banks

d) Other Assets

Total of III

IV. Cash in India (i.e., cash in hand)

V. Investments in India (at book value)

a) Central and State Governments securities including Treasury Bills, Treasury Deposits Receipts, Treasury

Savings Deposit Certificates and Postal obligations

b) Other approved Securities

Total of V

VI. Bank Credit in India (excluding inter-bank advances)

a) Loans, cash credits and overdrafts

b) Inland Bills purchased and discounted

(i) Bills Purchased

(ii) Bills Discounted

c) Foreign Bills purchased and discounted

(i) Bills purchased

(ii) Bills discounted

Total of VI

Total of (III+IV+V+VI)

A. Net liabilities for the purpose of Section 42 of the Reserve Bank of India Act, 1934 = Net Liability to the Banking System + Liabilities to Others in India i.e.,(I-III) +II, if (I-III) is a plus figure or II only, If (I-III) is a minus figure.

B. Savings Bank Account (vide Regulation 7)

i) Demand Liabilities in India

ii) Time Liabilities in India

Place:

Date:

[1] Where last day of the fortnightis a public holiday under the Negotiable Instrument Act, 1881 (26 of 1881) for one or more offices of a Scheduled bank, the return shall give the preceding working day's figure in respect of such office or offices, but shall nevertheless be deemed to relate to last day of that fortnight.

[2] The expression "Banking System" or "Banks" wherever it appears in the return means the banks and any other financial institutions referred to in sub-clause (i) to (vi) of clause (d) of the Explanation below Section 42 (1) of the Reserve Bank of India Act, 1934. .

[3] If it is not possible to provide the figure against I(c) separately from II(c), the same may be included in the figure against II(c).In such a case, the net liability to the banking system will be worked out as the excess, if any of the aggregate of 1(a) and 1(b) over the aggregate of III.

[4] Other than from the Reserve Bank of India, the Exim Bank, the National Housing Bank, the National Bank, the Small Industries Bank, the National Bank for Financing Infrastructure and Development or the other development financial institution.

Memorandum to Form A

1. Paid-up Capital

1.1 Reserves

2. Time Deposits

2.1 Short-term

2.2 Long-term

3. Certificates of Deposits

4. Net Demand and Time Liabilities

(After deduction of liabilities under zero reserve prescription, Annex A)

5. Amount of Deposits required to be maintained as per current rate of CRR

6. Any other liability on which CRR is required to be maintained as per current RBI instructions under section 42 and 42(1A) of the Reserve Bank of India Act, 1934.

7. Total CRR required to be maintained under Section 42 and 42(1A) of the Reserve Bank of India Act, 1934.

Annex A to Form A

Name of the Bank:

(Amount in Rupees rounded off to the nearest thousand)

Items	Outstanding at Book value	Revaluation value	Interest
1	2	3	4
FOREIGN CURRENCY LIABILITIES			
Foreign Currency Liabilities to others In India **I. Non-Resident Deposits (I.1+I.2+I.3+I.4)** I.1 Non-Resident External Rupee Account (NRE) I.2 Non-Resident Ordinary Deposits (NRO) I.3 Foreign Currency Non-Resident Banks Scheme (FCNR(B}](1.3.1+1.3.2) I.3.1 Short-term [1] I.3.2 Long-term[2] I.4 Others (to be specified)			
II. Foreign Currency Other Deposits/Schemes (II.1+II.2+II.3+II.4+II.5+II.6) II.1 Exchange Earner's Foreign Currency II.2 Resident Foreign Currency Accounts (II.2.1+II.2.2) II.2.1 Resident Foreign Currency (Old Scheme) II.2.2 Resident Foreign Currency (Domestic) (New Scheme) II.3 ESCROW Accounts by Indian Exporters II.4 Foreign Credit Line for Pre-shipment Credit account and Overseas Rediscounting of Bills			

II.5 Credit Balances in ACU(US dollar) Account II.6 Others (to be specified)			
III. Foreign Currency Liabilities to the Banking System In India(III.1+III.2) III.1 Inter-bank Foreign Currency Deposits III.2 Inter-bank Foreign Currency Borrowings			
IV. Overseas Borrowings[3]			
FOREIGN CURRENCY ASSETS **1. Assets with the banking system in India** 1.1 Foreign Currency lending 1.2 Others **2. Assets with others In India** 2.1 Bank Credit In India In Foreign Currency[4] 2.2 Others **3. Overseas foreign currency assets[5]** *of which,* balances held in cash component of Nostro account			

	Amount in Rupees Rounded off to the Nearest thousand
V. External Liabilities to Others subject to Differential/zero CRR prescription (I+II) **VI. External liabilities fully subject to CRR prescription (IV)** **VII. Net Inter-Bank Liabilities(I-III of Form A)** **VIII. Any other liabilities coming within the purview of zero prescription** VIII.1 Market Repos in government securities including TREPS VIII.2 IBU VIII.3 OBU VIII.4 Minimum of EC or LB VIII.5 FCNR (B) Deposits - Circular dated July 06, 2022	

VIII. 6 NRE Term deposits - Circular dated July 06, 2022 VIII.7 Other Liabilities under Zero Prescription **IX. Liabilities subject to zero CRR prescription (V+VII+VIII)**	
Memo items	
1. Inter Bank Liabilities	
1.1 Total Inter Bank Liabilities	
1.2 Less: Term liabilities (Maturity>= 15 days and up to 1 year)	
1.3 Net (1.1-1.2)	
2. Inter Bank Assets	
2.1 Total Inter Bank Assets	
2.2 Less: Term assets(Maturity>= 15 days and up to 1 year)	
2.3 Net (2.1-2.2)	
3. ACU Dollar Funds	

1 of contractual maturity of one year or less.
2 of contractual maturity of more than one year.
3 Pertains to the portion not swapped into Rupees.
4 Loans out of FCNR (B) deposits.
5 Include (i) balances held abroad (i.e., cash component of Nostro account. debit balances in ACU (US dollar) account and credit balances in the commercial banks of ACU countries) (ii) short term foreign deposits and investments in eligible securities, (iii) foreign money market instruments including Treasury Bills and (iv) foreign shares and bonds.

(**Signature of Authorised Officials)**

1. **(Designation)**

2. **(Designation)**

Annex B to Form A

Name of the Bank:

(Amount in Rupees rounded off to the nearest thousand)

Items	Outstanding at book value	Revaluation value
1	2	3
I. Investments in Approved Securities(I.1+I.2) I.1 Investment in Government securities (I.1.1+I.1.2=Item V(a) of Form A) I.1.1 Short Term[1] I.1.2 Long Term[2] I.2 Investment in other approved Securities (1.2 =Item V(b) of Form A) **(As and when prescribed)** I.3 Investment in other Government Securities (Non- SLR) **II Investments in other Securities** (II.1+II.2+II.3+II.4) **Investments in :** II.1 Commercial Paper II.2 Units of Mutual Funds II.3 Shares issued by - II.3.1 Public Sector Undertakings II.3.2 Private Corporate Sector II.3.3 Public Financial Institutions II.3.4 Others (to be specified) II.4 Bonds/debentures/security receipts/ Pass Through Certificates issued by - II.4.1 Public Sector Undertakings II.4.2 Private Corporate Sector		

II.4.3 Public Financial Institutions II.4.4 Others (to be specified) III Deposits towards Priority Sector Lending shortfall (RIDF, SIDBI etc.)		
Memo Items		
1. Subscriptions to shares/debentures/bonds in the Primary market. **2. Subscriptions through Private Placements** ***3. Of item no. (I.1 +I.2) above, securities pledged for borrowings (a+b+c+d+e):*** ***a) under RBI-LAF repo/term repo*** ***b) under MSF*** ***c) under FALLCR*** ***d) under market repo/other borrowings*** ***e) contribution to Settlement Guarantee Funds (SGFs) and other similar funds***		

[1] *of contractual maturity of one year or less*

[2] *of contractual maturity of more than one year.*

(**Signature of Authorised Officials)**

1. (Designation)

2. (Designation)

Annex II

FORM VIII

THE BANKING REGULATION ACT, 1949

(Rule 13 A)

(Section 18 and 24)

For Local Area Banks (LABs)

1. Name of the banking company:

2. Name and designation of the officer submitting the return:

3. Statement of demand and time liabilities and cash, gold and unencumbered approved securities for the month of _____:

(To be furnished to the Reserve Bank not later than 20 days after the end of the month to which it relates)

(Rounded off to the nearest thousand rupees)

	As at the close of business on	
	15th day of the month@	**Last day of the month@**
PART - A I. Liabilities in India to the Banking System (excluding any loan taken by a Regional Rural Bank from its sponsor Bank) (a) Demand Liabilities (i) Balances in current accounts of the State Bank of India and corresponding new banks		

(ii) Other demand liabilities (b) Time Liabilities **Total of I** II. Liabilities in India to others(excluding borrowings from the Reserve Bank, Exim Bank, National Bank, National Housing Bank, Small Industries Bank, National Bank for Financing Infrastructure and Development and other development financial institutions as defined in section 2 (cccii) of the Reserve Bank of India Act, 1934) (a) Demand Liabilities (b) Time Liabilities **Total of II**	

III Cash in hand IV. Balances in current account with the Reserve Bank V. Assets in India with the Banking System (a) Balances in current account with (i) The State Bank of India and corresponding new banks. (ii) Other banks and Notified financial Institutions (b) Balances in other accounts with banks and notified financial institutions (c) Money at call and short notice (d) Advances to banks (i.e., dues from banks) (e) other assets **Total of V** VI. Net balance in current accounts= V(a)(i) - I (a)(i) VII. Net liabilities for the purpose of Section18 and 24 of the Banking Regulation Act, 1949= Net liabilities to the Banking System+ Other demand and time liabilities= (I-V)+II if (I-V) is a **plus** figure	

OR II only if (I-V) is a **minus** figure **PART – B(For non-scheduled banks only)** VIII. Minimum amount of cash reserve required to be maintained under Section 18 of the Banking Regulation Act, 1949 (such per cent of VII as on the last dayof the second preceding fortnight as notified by the Reserve Bank) IX. Cash reserve actually maintained = **Total of III, IV and VI** X. **Excess of IX over VIII** **PART - C** XI. Minimum amount of assets required to be maintained under Section 24 of the Banking Regulation Act, 1949 (such percent of VII as on the last dayof the second preceding fortnight as notified by the Reserve Bank). XII. (a) Balance required to be maintained by a scheduled bank under Section 42 of the Reserve Bank of India Act, 1934. (b) Balance actually maintained by a scheduled bank with the Reserve Bank (c) Excess of (b) over (a) XIII. Assets actually maintained (a) Amount in cash deposited with the Reserve Bank by a banking company incorporated outside India under Section 11(2) of the Banking Regulation Act, 1949 (b) Cash in hand or in the case of a non-scheduled bank, excess of IX over VIII, if any, shown against X above	

(c) Excess balance with the Reserve Bank, if any shown against XII (c) above	
(d) Net balance in current account maintained by a scheduled bank = VI above	
(e) Balances maintained by a Regional Rural Bank in call or fixed deposit with its Sponsor Bank	
(f) Gold valued at a price not exceeding the current market price	
(g) Unencumbered approved securities valued on the basis of the method of valuation determined by the Reserve Bank	
(h) Approved securities deposited with the Reserve Bank by a banking company incorporated outside India under section 11 (2) of the Banking Regulation Act, 1949, valued on the basis of the method of valuation determined by the Reserve Bank	
(i) Amount deposited with the Reserve Bank, under Standing Deposit Facility Scheme	
Total of (a) to (i)	
XIV. **XIII-XI** **(Excess+, deficit-)**	

Dated **Signature**

Note: For the purposes of this return, the expressions “Banking System" shall mean the State Bank of India, corresponding new banks, Regional Rural Banks, other banking companies, co-operative banks and financial institutions notified by the Central Government under clause (d) of the Explanation to section 18 of the Banking Regulation Act,1949.

@ Give dates (where last day of the fortnightis a public holiday under the Negotiable Instruments Act, 1881 (26 of 1881), give the date as on the preceding working day).